

ALIBABA GROUP HOLDING LIMITED

(NYSE: BABA)

The Cheapest Great Business in the World — and the Reason It Stays That Way

HOLD — \$132.00 Target

Equity Research Note · Technology — E-commerce & Cloud (China) · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$132.00	\$105.85	+24.7%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$263.3 bn (at \$105.85)	AI-related cloud revenue	10 consecutive quarters of triple-digit growth
Net cash + investments (bridge)	~RMB 420 bn	Net cash	~\$63 bn at June 2026 (incl. Ant stake at ~\$22 bn)
52-week range	~\$91.99 – \$189.61	Buybacks	~\$12 bn in FY26 to date
FY2025 revenue	RMB 996.4 bn (+6.3%)	Governance	VIE structure; 4% structural haircut applied
Cloud (Q2 FY26)	RMB 40.9 bn (+34% YoY)	Next catalyst	Q3 FY26 earnings; cloud reacceleration data

1 Investment Thesis

Alibaba is arguably the cheapest great business in the world: the core Taobao/Tmall commerce franchise still generates enormous cash flow, Alibaba Cloud is growing 34% year over year with AI-related revenue posting its tenth consecutive quarter of triple-digit growth, and the balance sheet holds roughly \$63 billion of net cash including a ~\$22 billion Ant Group stake. At \$105.85 the ADS trades at a single-digit multiple of the cash the commerce business alone produces. On fundamentals, this is a screaming value.

Our judgment: the discount is structural, not a mispricing the market will correct on its own. Three forces cap the multiple permanently. First, the VIE structure: foreign holders own a Cayman shell with contractual — not ownership — claims on the Chinese operating assets, and we apply a 4% structural haircut to fair value for exactly this reason. Second, Beijing: the regulatory cycle that began in 2020 demonstrated that the state can and will intervene in platform economics, and our 250bp China country-risk premium in every scenario discount rate prices the demonstrated willingness of the sovereign to reshape the business. Third, competition: Pinduoduo and Douyin have permanently taken share in commerce, and the core marketplace is a share-defense story, not a growth story.

The bull case is real but narrow: if Alibaba Cloud's AI-driven reacceleration sustains 30%+ growth and the market begins valuing the cloud business on global hyperscaler multiples, the \$276 bull case is reachable — the cloud asset inside this conglomerate is genuinely world-class. But conglomerate structures don't get sum-of-the-parts multiples in China, and the commerce decay offsets much of the cloud's value creation. Our probability-weighted value is \$137.58 per ADS, haircut 4% for the VIE structure to the \$132 target — +25% above the current price, which is why this is a HOLD and not a SELL, but the structural ceiling is why it is not a BUY. You are paid to wait; you are not paid to expect a re-rating.

The margin trajectory is the quiet bull case underneath the HOLD call: as cloud and international grow faster than the commerce core, the blended FCF margin nearly doubles over the explicit period even with commerce itself flat — operating leverage working through mix rather than pricing power. That is a durable, compounding source of value that

does not require Beijing's permission or a multiple re-rating to materialize. It is also why the bear case is about the multiple and the sovereign, not the business: the cash generation survives scenarios the stock price does not.

2 Business Overview — What Alibaba Group Holding Limited Is Doing

(Hangzhou, China; CEO Eddie Wu)

Alibaba Group, headquartered in Hangzhou, China, was founded in 1999 and operates through six business groups following the 2023 reorganization. Taobao and Tmall Group (China commerce) is the cash cow — the world's largest e-commerce platform by GMV, funding everything else. Alibaba International (AliExpress, Lazada, Trendyol) grows fast from a smaller base. Alibaba Cloud Intelligence Group is the strategic asset: China's largest cloud provider, now reaccelerating on AI demand. Cainiao (logistics), Local Services (Ele.me, Amap), and Digital Media & Entertainment (Youku, Alibaba Pictures) are smaller, mostly loss-making or breakeven.

How it makes money: customer-management (advertising) and commission revenue on the commerce platforms, cloud subscriptions and AI compute, logistics fees, and investment income from the Ant Group stake (~33% equity, carried at ~\$22B) and a large portfolio of strategic investments. The VIE structure means NYSE-listed ADS holders own shares in a Cayman holding company with contractual claims on the operating entities — a structural feature we price explicitly rather than footnote.

What the company is doing now

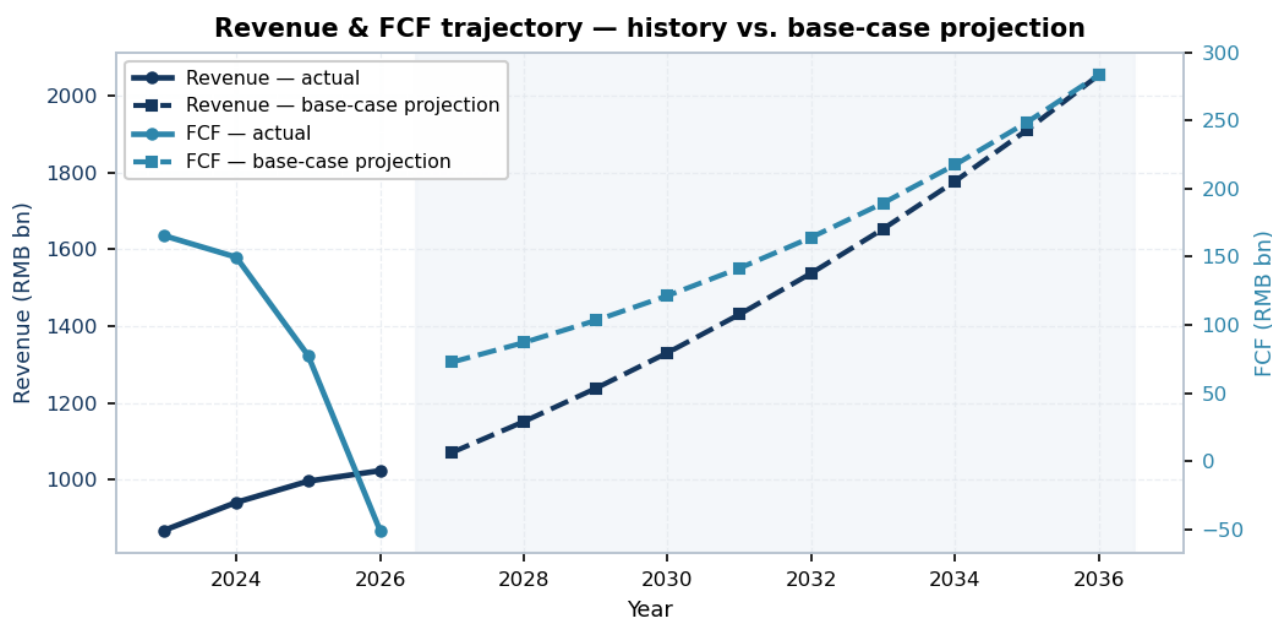
- **Cloud is the strategic asset and it's reaccelerating.** 34% YoY growth with AI-related revenue in triple digits for ten straight quarters — this is the only Alibaba business the global market would pay a premium multiple for.
- **The cash return is real.** ~\$12 billion of buybacks in FY26 to date plus a meaningful dividend — management is returning the commerce cash cow's milk to shareholders rather than empire-building.

3 Financial Analysis

The financial profile is a cash machine wearing a conglomerate's discount: FY2025 revenue RMB 996.4 billion (+6.3%), with the commerce segments generating the overwhelming majority of profit. Reported free cash flow has been volatile (RMB 165.4B → 149.7B → 77.5B → -50.7B, FY23–FY26) on heavy cloud and logistics capex plus investment swings — the model normalizes through this to mid-cycle margins rather than extrapolating any single year's print. Net cash of ~\$63 billion (including the Ant stake) is roughly a quarter of the market cap and funds both the AI capex cycle and the \$12B buyback pace.

Base-case economics: ~7.5% ten-year revenue CAGR (RMB 996B → ~RMB 2.06T), FCF margins 6%→13.8%, 12.5% discount (10% standard + 250bp China country-risk premium), 2.0% terminal growth. The bear (\$44.79 pre-haircut) assumes renewed regulatory intervention with 3% growth and 15% discount. The bull (\$276.45) assumes cloud sustains 30%+ AI-driven growth at an 11% discount. A 4% VIE haircut is applied to the weighted value in all cases.

Revenue & cash-flow trajectory

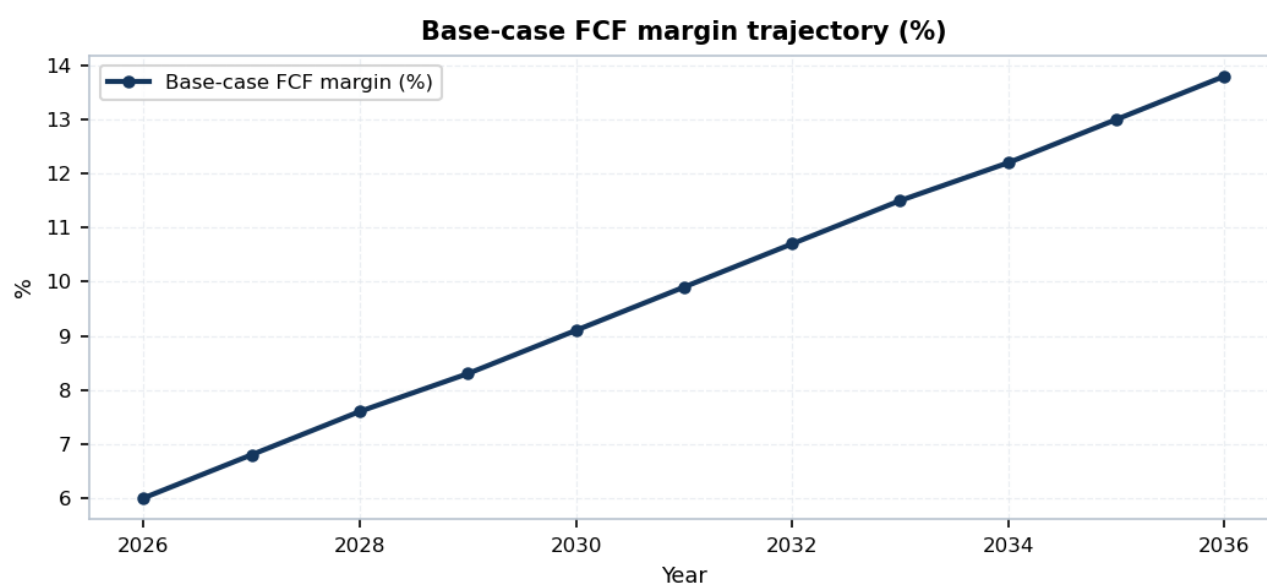


History: fiscal-year revenue and operating-CF-minus-capex (Yahoo; FY ends March; FY26 FCF depressed by capex/investment swings).
 Projection: the model's base-case 10-year RMB path (~7.5% revenue CAGR; FCF margin 6%→13.8%). Shaded = projection.

4 Moat & Competition

- **The commerce network effect is intact, if no longer expanding.** Taobao/Tmall's merchant and consumer density remains unmatched in China; the moat now defends share rather than taking it.
- **Cloud scale in the world's second-largest cloud market.** Alibaba Cloud's infrastructure and AI-model ecosystem (Qwen) position it as China's default AI-compute provider.
- **The balance sheet is a strategic weapon.** ~\$63B net cash funds the AI capex cycle and \$12B annual buybacks simultaneously.
- **Counterweight: the moat is jurisdictional.** VIE structure, state intervention risk, and share loss to Pinduoduo/Douyin cap the multiple permanently — the 250bp country-risk premium and 4% VIE haircut are the pricing of this reality.

Base-case FCF margin trajectory (%)



5 Valuation — 10-year scenario FCFF DCF in RMB (with China country-risk premium + VIE haircut), Fair Value \$132

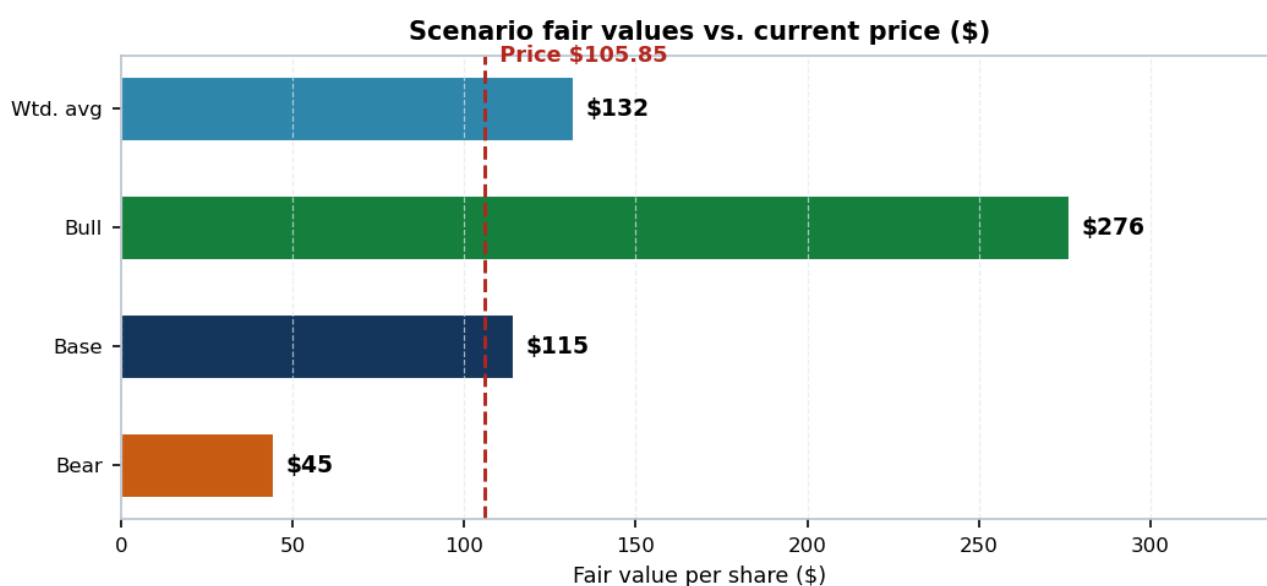
We value Alibaba on a probability-weighted 10-year scenario DCF in renminbi, converted to ADS at 7.2 RMB/USD over 2.486 billion ADS, weighted bear 25% / base 50% / bull 25%. Scenario discounts are 15.0% / 12.5% / 11.0%: the standard 10% plus an explicit 250bp China country-risk premium in the base case (calibrated to the demonstrated willingness of the sovereign to intervene in platform economics), +250bp in the bear, -150bp in the bull. Terminal growth is 0.5% / 2.0% / 2.0% on year-10 FCF at normalized mid-cycle margins. A 4% structural haircut for the VIE structure is applied to the weighted value.

The base case assumes ~7.5% revenue CAGR with FCF margins recovering 6%→13.8% as the cloud mix rises: \$114.54 per ADS pre-haircut. The bear (\$44.79) assumes renewed regulatory intervention — 3% growth, margins stuck near 6.5%, 15% discount, 0.5% terminal growth. The bull (\$276.45) assumes cloud sustains 30%+ AI-driven growth with terminal margins near 28.5%. The RMB 420 billion bridge (net cash including equity investments) is added in every scenario. Terminal value is 35–62% of EV across scenarios.

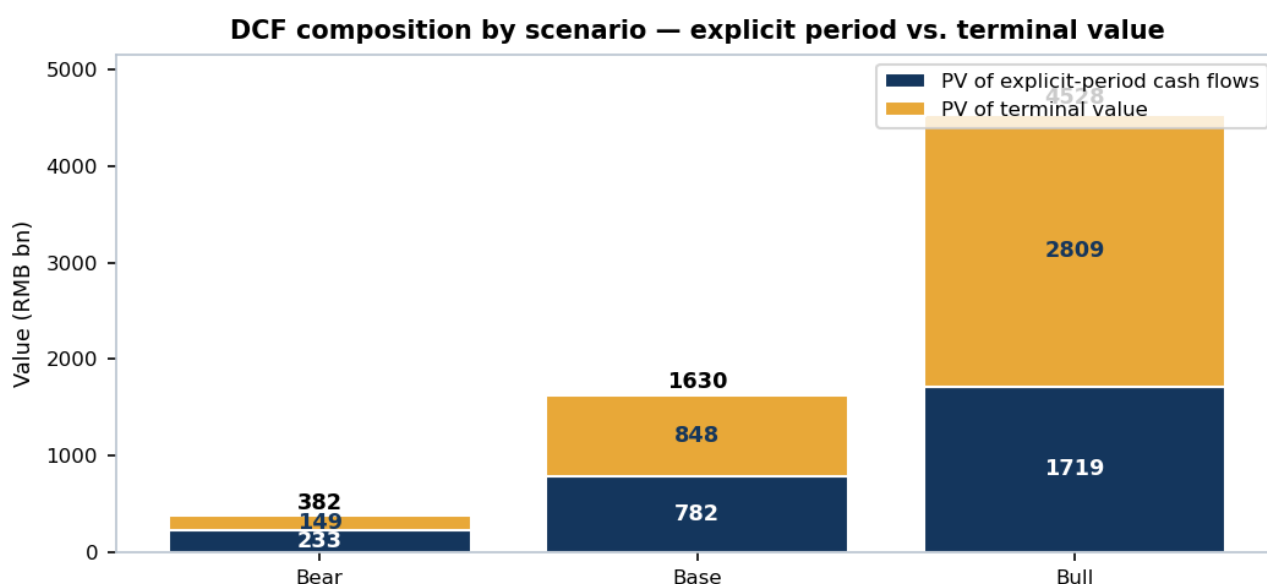
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Renewed regulatory intervention in platform economics; commerce stagnates; cloud growth disappoints; margins stuck near 6.5%.	+3.0%	6.5%	15.0% / 0.5%	35%	\$44.79
Base	~7.5% revenue CAGR; cloud reaccelerates on AI while commerce defends share; FCF margins 6%→13.8% on mix shift.	+7.5%	13.8%	12.5% / 2.0%	52%	\$114.54
Bull	Cloud sustains 30%+ AI-driven growth; market values the cloud asset on global hyperscaler multiples; commerce stabilizes.	+9.5%	28.5%	11.0% / 2.0%	62%	\$276.45
Wtd. avg	Probability-weighted (25/50/25) → \$132.00 target					\$132.00

Probability-weighted DCF value is \$137.58 per ADS ($0.25 \times \$44.79 + 0.50 \times \$114.54 + 0.25 \times \276.45); a 4% structural VIE haircut gives our \$132 target — +25% above the current price, which is why this is a HOLD. Composition is on an RMB EV basis; the ~RMB 420B bridge (net cash incl. equity investments) is added to reach equity fair value in every scenario, before the haircut.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in RMB bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Regulatory intervention.** The 2020–2022 cycle demonstrated Beijing's willingness to reshape platform economics; priced via the 250bp country-risk premium, but further intervention would push toward the \$45 bear.
- **VIE structure.** Contractual rather than ownership claims on operating assets; 4% structural haircut applied to fair value.
- **Commerce share loss.** Pinduoduo and Douyin have permanently taken share; the core marketplace is in share-defense mode.
- **Geopolitical / delisting risk.** US-China tensions create listing and audit-compliance overhang on the ADS.
- **Cloud competition.** Huawei, Tencent, and state-backed clouds compete aggressively on price for AI workloads.
- **Currency.** RMB revenue translated into a USD-listed ADS; the model carries FX at 7.2.

What would change our mind

Sustained cloud growth above 30% with AI revenue called out as the driver — plus evidence the market is valuing the cloud asset on global hyperscaler multiples (e.g., a partial spin or separate disclosure) — would argue the bull case deserves more weight and move us toward BUY. Conversely, renewed regulatory intervention in platform economics, commerce revenue declining outright for two consecutive quarters, or geopolitical escalation threatening the ADS listing would move us toward SELL. The country-risk premium is a planning assumption, not a tail risk.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.